

The following section explains carbon markets and how they work.

A carbon market is a market in which carbon units, representing emissions reduced or avoided or carbon stored, are exchanged within a defined framework.

Although ‘carbon market’ is a commonly used term, there is no centralised exchange where buyers and sellers come together to trade ACCUs or other carbon credits.

Instead, sellers — which may include carbon service providers acting as project proponents or on behalf of the farmer or land manager running a carbon farming project — locate buyers and negotiate a price and quantity acceptable to both parties. Commercial organisations run several platforms that handle transactions. The Clean Energy Regulator facilitates the holding, transfer, delivery, cancellation and surrender of ACCUs through the [ANREU](#).

The Clean Energy Regulator’s [Markets](#) webpage provides details about carbon markets.

The Clean Energy Regulator is developing the [Australian Carbon Exchange](#). The exchange will create a centralised, standardised, and regulated marketplace, making it easier to trade ACCUs.

Rather than selling them, the farmer or land manager may decide to retain and cancel ACCUs for insetting purposes. In deciding whether to do this, they would need to consider the costs of generating ACCUs and the benefits of insetting. Topic 1 explains insetting.

It’s also worth noting the Australian Government’s new [Nature Repair Market](#) is now operational. The Nature Repair Market is a voluntary national market designed to drive investment into activities that restore and protect the environment. Landholders can participate in both the ACCU Scheme and the Nature Repair Market, with the first method for nature repair activities complementing the Environmental Plantings ACCU method. The department is working with organisations to create new methods including those that leverage First Nations knowledge and values.

Why would people want to buy ACCUs?

Going back to the beginning of the process, the Clean Energy Regulator issues one ACCU for every tonne of CO₂-e stored or emissions avoided by an ACCU project. The ACCU Scheme provides a mechanism for organisations to counterbalance, or ‘offset’, a proportion of their emissions.

For example, suppose you run an enterprise that emits 5,000 tonnes of CO₂-e a year and is committed to reducing emissions. In that case, you will naturally review every part of your operations to reduce emissions. You are able to reduce emissions by 3,000 tonnes a year, leaving 2,000 tonnes emitted a year. What do you do about the remaining 2,000 tonnes? Another farmer has earned 2,000 ACCUs by reducing their emissions or storing carbon. These ACCUs are proof that there are now 2,000 fewer tonnes of GHG in the atmosphere than there would otherwise have been, thanks to the farmer’s efforts. If the farmer sells you their ACCUs, it has the effect of reducing your net emissions for a year. You must then ‘cancel’ (also called ‘retire’) the ACCUs, which removes them from the market because you have ‘redeemed’ the tonnes of CO₂-e they represent and used them to offset the emissions you haven’t been

able to cut. By taking them out of circulation, cancelling the ACCUs ensures no 2 (or more) entities count the emissions reduction benefit that the ACCUs represent.

For the same reason, if you generate ACCUs and sell them to someone else, you cannot claim the emissions reduction or carbon storage benefit in your GHG account.

People speak of the 'compliance' and 'voluntary' carbon markets.

In terms of 'compliance', the Australian Government's [Safeguard Mechanism](#) sets legislated limits on net GHG emissions from the largest industrial facilities. It applies to about 215 mining, oil, gas, manufacturing, transport and waste facilities. The amount they are allowed to emit will decline yearly, but they can buy and surrender ACCUs to reduce their net emissions and meet their obligations.

In terms of 'voluntary', many organisations buy ACCUs to offset their emissions for non-regulated reasons. These include meeting company or supply-chain pledges to reduce net emissions. Again, they can decide to buy ACCUs and then cancel them. This is a fast-growing area of demand as more organisations commit to reducing their carbon footprints.

Some organisations are buying ACCUs, expecting their value to increase over time. They may plan on selling their ACCUs for a profit when prices rise.

There are 3 main ways ACCUs are traded in Australia.

The first is direct contracting between buyers and sellers for a set quantity of ACCUs at a set price.

The second involves trading on exchange platforms where sellers can offer ACCUs at a price, or buyers can seek ACCUs at a price. This represents a spot market. Brokers managing exchange platforms may charge transaction fees, for example, as a fixed value per ACCU or a percentage of the total transaction.

The third is through the Australian Government purchasing ACCUs. Between 2015 and 2023, the Clean Energy Regulator bought ACCUs on behalf of the Australian Government by conducting reverse auctions for [carbon abatement contracts](#). Some contracts were optional, providing the ACCU owner with the option but not the obligation to sell their ACCUs to the Commonwealth at a future date. This provided the security of a future set price while still being free to seek higher prices from private buyers. The Australian Government is developing future arrangements for purchasing ACCUs. It will continue purchasing ACCUs through the Powering the Regions Fund.

The 'generic ACCU' spot price is the price if the buyer and seller do not stipulate a particular carbon farming project or ACCU method. If they do, the price will generally be higher because of the verified co-benefits the project delivers. These include benefits to the community and environment beyond avoiding emissions and storing carbon.

For example, a project in an industrial setting might have few environmental benefits. On the other hand, a First Nations organisation running a savanna fire management project may have taken a rigorous approach to identifying and verifying other benefits (such as through the Aboriginal Carbon Foundation's Core Benefits Verification Framework for the Environmental, Social and Cultural Values

of Aboriginal Carbon Farming). These benefits may include income and other opportunities for First Nations communities and restored and improved habitat for native plants and animals.

Many buyers want ACCUs with co-benefits and will pay more for them. Factors influencing the price include the project's reputation, location, ownership and frequency of producing ACCUs.

Source: <https://www.agriculture.gov.au/agriculture-land/farm-food-drought/climatechange/carbon-farming-outreach-program/training-package/topic-5/5-trading-accus>